FIGURE 6-7

Total U.S. Market Index and FF Small-Cap Value Index, 36-Month Rolling Correlations

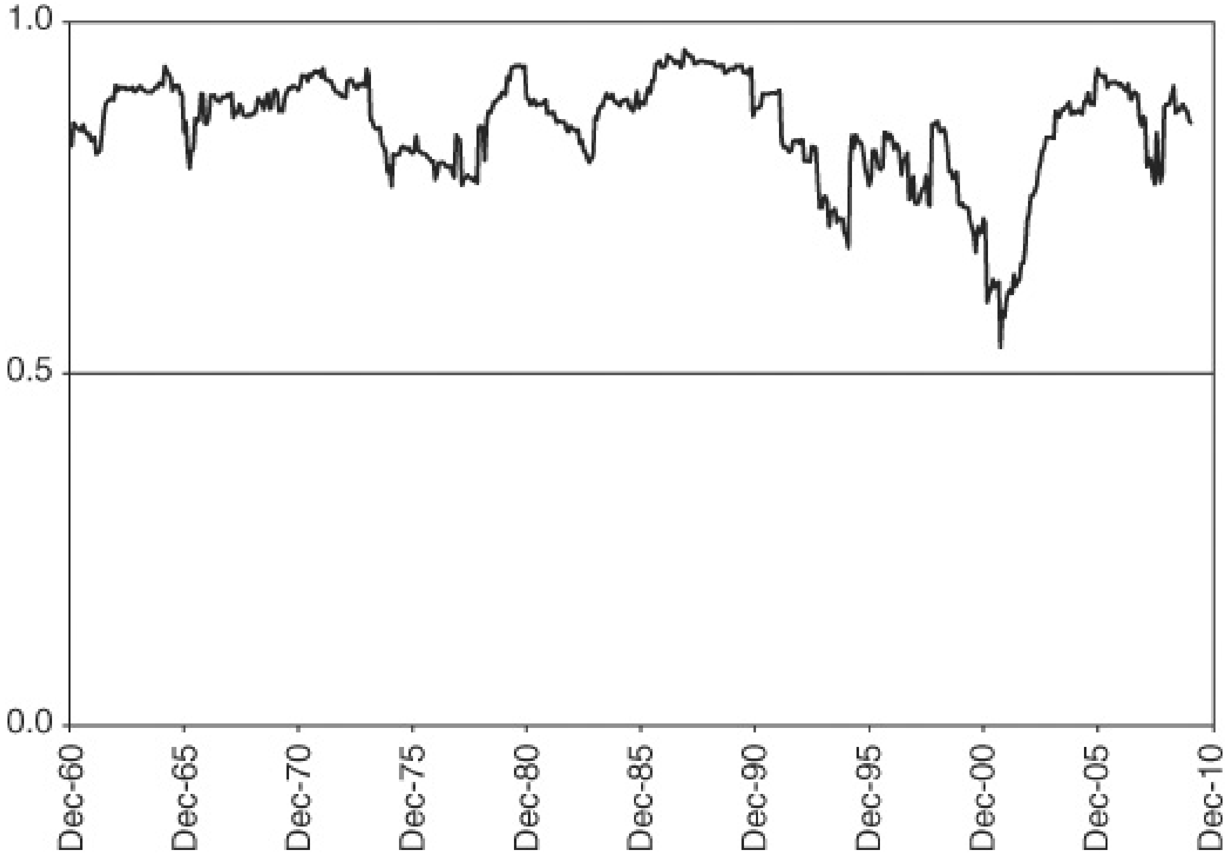

Figure 6-8 illustrates the theoretical diversification benefit that was achieved by adding 10 percent increments of the FF Small-Cap Value Index to the total U.S. stock market. The point on Figure 6-8 that is most interesting is a portfolio representing 70 percent in the broad market and 30 percent in the small value index. Over a 30-year period, a mix of 70 percent in the total market and 30 percent in the small-cap value index would have increased U.S. equity returns by 2.0 percent with very little increase in observed portfolio risk.

Figure 6-9 sums up the chapter nicely by comparing the efficient frontiers between two portfolios. One portfolio uses microcap stocks as a diversification tool for the total U.S. stock market, and the other uses small-cap value stocks.

Historically, small-cap value stocks have added more return with less risk than microcap stocks, Nonetheless, I believe it is worth having both in